

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.

Complainant,

v.

SM LINE CORPORATION

Respondent.

Docket No. 23-01

**COMPLAINANT’S REPLY IN FURTHER SUPPORT OF ITS MOTION
TO COMPEL AND FOR SANCTIONS FOR SPOILIATION OF EVIDENCE**

Complainant Samsung Electronics America, Inc. (“SEA”) submits this reply to Respondent SM Line Corporation’s (“SM Line”) Opposition (Dkt. No. 84) in further support of SEA’s Motion to Compel and for Sanctions for Spoliation of Evidence (“Motion,” Dkt. No. 78).¹

INTRODUCTION

In opposing this Motion, SM Line submitted the Declaration of Won-Mo Lee (Head of the IT Team of SM Line HQ), where the rather stunning admission was made that SM Line’s Korea office apparently had a 90-day Email Deletion Policy dating back to 2017. *See* Opp. at Ex. O. SM Line never disclosed this policy until January 2024, when the disclosure of an unwritten policy was floated by counsel. Then, in March 2024 the unwritten policy was raised again by counsel, after depositions, with the additive that all emails in Korea were deleted. Now, in April 2024 there is a written policy and the Head of IT is glad to address it in a declaration only when sanctions are sought. This way too late submission strains credulity and raises more questions than answered.

¹ Capitalized terms not otherwise defined have the same meaning as in SEA’s moving papers.

SM Line’s additional points made to avoid adverse relief raise serious questions. SM Line admits it *never* suspended its Email Deletion Policy and that its counsel *never* sent a litigation hold at any point—after litigation became reasonably foreseeable by way of the Demand Letter, during ensuing discussions between the companies, after the Complaint was filed, when the Initial Order required that SM Line preserve all relevant ESI, or at any point during the pendency of this action. Even during months-long, hotly contested discovery, it did not preserve the Withheld ESI and attempted to conceal the existence of key SM Line custodians.

To hide its serial flouting of its preservation and discovery obligations, SM Line argues that (i) litigation did not become reasonably foreseeable until the Complaint was actually filed; (ii) the fact that a non-U.S., in-house lawyer at Korea HQ assisted its U.S. Office’s request to assist with “*the collection [but not preservation] of all available data related to SEA containers*”² and the indiscriminate use of the Email Deletion Policy somehow relieve SM Line of a duty to *preserve* relevant Withheld ESI; and (iii) no relevant ESI would have resided in SM Line’s Korea HQ, including with Select D&D Decision-Makers. Each of these arguments fail.

First, SM Line was under a duty to preserve Withheld ESI no later than September 2022, when SEA noted its intent to “seek reparations before the Federal Maritime Commission.”

Second, immediately thereafter, SM Line should have disabled the Email Deletion Policy, and its counsel should have implemented a litigation hold. It never did either. **Third**, no amount of post-Complaint, self-collection efforts can excuse SM Line’s utter failure to *preserve* the relevant, Withheld ESI. **Fourth**, it is undisputed that Key Custodians in SM Line’s Korea HQ set and implemented the D&D billing and collections policies and practices on store door terms. And

² Opp. Ex. A (Decl. of W.C. Shin), ¶ 3. Mr. Shin (Legal Manager of SM Line Korea HQ) only provides that he was involved with “the collection of all available data” or “the collecting the relevant documents from employees of the Korea office, but **not once** does he note that he directed anyone at SM Line Korea HQ to **preserve** the relevant ESI.

all relevant communications on this critical subject matter are entirely destroyed, leaving SEA without SM Line's deliberation, implementation, and maintenance of its unreasonable D&D policies and practices despite the incentive principle or the mandates under OSRA.

ARGUMENT

A. SM Line's Head of IT Team Confirms the Failure to Preserve Withheld ESI

To excuse its failure to consider, much less, fulfill its preservation obligations, SM Line's Head of the IT Team via the Declaration of Won-Mo Lee. Consider what Mr. Lee does **not** say:

First, Mr. Lee does not state—and SM Line does not otherwise dispute—that SM Line ever suspended its Email Deletion Policy. And Mr. Lee says nothing about what, if any, efforts were undertaken to suspend the Email Deletion Policy at any time.

Second, Mr. Lee's declaration does not state—and, again, SM Line does not otherwise dispute—that SM Line was ever issued a litigation hold by its counsel *at any point*. That SM Line had a putative Email Deletion Policy does not absolve it of its duty to preserve relevant Withheld ESI once litigation became reasonably foreseeable in September 2022. *See* Moving Br. at 15 (citing cases explaining that email auto-deletion must be disabled to preserve evidence). The simple truth is: neither SM Line nor its counsel *ever* considered, much less complied with, SM Line's duty to preserve relevant email communications from Key Custodians in Korea HQ.

B. SEA's September 2022 Demand Letter Was Pre-Suit Notice Requiring Action

SM Line asserts that SEA's September 26, 2022 Demand Letter was insufficient to trigger SM Line's duty to preserve evidence that "may be relevant to future litigation," *see* Opp. at 8, because the Demand Letter was not sent by outside counsel and did not state verbatim that SEA would "seek immediate legal action." SM Line's contention misstates the law and the record.

First, as explained in *Does 1-5 v. City of Chicago*, No. 18-CV-03054, 2019 WL 2994532, at *4 (N.D. Ill. July 9, 2019)—cited at Opp. at 9—the duty to preserve evidence arises when

litigation is “reasonably foreseeable” and there is no set formula for determining when litigation becomes reasonably foreseeable. A demand letter sent by counsel and explicitly threatening litigation are just two of the multiple factors the *Does* court considered. *Id.* *Does* is one of many cases stating this legal principle.

Second, SM Line’s discussion of the contents of the Demand Letter conceals from the Presiding Officer the explicit threat of litigation set forth in the SEA Demand Letter: “. . . . Samsung protests the unjust, unreasonable and unlawful Fees ***and intends to seek reparations before the Federal Maritime Commission (“FMC”) . . .***” (emphasis added). This is not “a vague or far-off possibility” of litigation. Opp. at 8. And noted in SEA’s Motion, ensuing pre-complaint talks between the companies made clear a FMC lawsuit was imminent absent a resolution.

Third, even assuming, *arguendo*, SM Line’s duty to preserve did not arise until filing the Complaint, it offered no explanation as to why it did not suspend the Email Deletion Policy then.

As such, SM Line litigation was reasonably foreseeable no later than September 26, 2022, and SM Line’s duty to preserve relevant evidence was triggered no later than September 26, 2022.

C. SM Line Wrongly Seeks to Narrow the Scope of Relevant Evidence

SM Line makes an astonishing argument that its failure to preserve is harmless because SM Line HQ had no relevant communications. In taking that position, SM Line boldly attempts to narrow the scope of relevant evidence from Korea to communications where SEA “requested a discount on, or an inactivation of, a demurrage or detention charge of SM Line relative to a shipment in dispute, and that SM Line refused it.” Opp. at 10.

But there is simply no legal basis for narrowing the scope of relevant information. The operative Shipping Act provision giving rise to SEA’s claims, 46 U.S.C. § 41102(c), provides that a common carrier “may not fail to establish, observe, and enforce just and reasonable regulations ***and practices*** relating to or connected with receiving, handling, storing, or delivering property.”

Korea HQ's central relevance to SM Line's D&D practices and policies and SM Line's "actual internal objectives" of using D&D not as an incentive to move cargo, but to maximize revenue, is therefore a central focus of SEA's initial brief submitted on April 15, 2024 and central to this case. The relevant scope of discovery has never been so narrow in this case or any Shipping Act case. To highlight just one example, a key issue is SM Line's detention and demurrage policies, which were indisputably established and managed by SM Line HQ. SM Line does not dispute that the policies were set by SM Line HQ, all decisions to assess and collect at least \$14,500,000 of SEA's direct damages were made by individuals in Korea, and that those custodians' emails were never preserved.³ Indeed, the Presiding Officer has already ruled on multiple occasions that SM Line custodians in Korea had relevant evidence and ordered SM Line to produce such evidence either via document productions or depositions.

CONCLUSION

SM Line's opposition to this Spoliation Motion is meritless, and the Commission should grant SEA sanctions as a result of SM Line's disregard for its evidence preservation obligations.

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³ SM Line's parsing of exhibits SEA submitted in support of this motion, *see* Opp. Br. at 11-12, is a red herring that does not excuse its discovery failures. Exhibits 25 and 26 to the Motion each evidence SM Line Korea HQ's role in approving D&D practices. Exhibit 28 discusses waiver of many detention charges of over \$500 in July 2022, when SM Line Korea HQ had the ultimate authority to approve such requests. As such, SM Line Korea HQ's communications and internal deliberations are relevant—but they were nonetheless destroyed.

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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